

HARSHA TEA HOUSE - FINANCIAL MODEL SUMMARY REPORT

Harsha Tea House is a premium neighbourhood tea shop operating a single outlet in Coimbatore. The business primarily generates revenue through the sale of tea, coffee, snacks and beverages. The model assumes stable customer growth driven by improved service quality, operational efficiency and periodic capital expenditure on equipment and store improvements.

BUSINESS INFORMATION

Particulars	Value
Company Name	Harsha Tea House
Industry	Food & Beverage (Tea Café)
Business Type	Single Outlet Premium Tea Shop
Forecast Period	FY2025 - FY2029
Historical Period	FY2022 - FY2024
Currency	INR (₹)
Valuation Method	Discounted Cash Flow (FCFF)
Valuation Date	31-Mar-25

EXECUTIVE SUMMARY

Metric	Value
Enterprise Value	1,10,03,425
Equity Value	1,10,93,425
Net Debt	80,000
WACC	12%
Terminal Growth Rate	4%

FINANCIAL PERFORMANCE

Metric	FY25	FY26	FY27	FY28	FY29
Revenue	48,60,000	54,58,752	61,31,270	68,86,643	77,35,077
Revenue Growth %	-	12%	12%	12%	12%
Gross Profit	32,73,696	36,77,015	41,68,509	47,24,465	53,53,222
Gross Margin %	67.36%	67.36%	67.99%	68.60%	69.21%
EBITDA	4,93,896	7,00,753	9,80,902	13,09,426	16,93,353
EBITDA Margin %	10.16%	12.84%	16.00%	19.01%	21.89%
EBIT	4,46,396	6,48,003	9,23,427	12,47,698	16,27,799
EBIT Margin %	9.19%	11.87%	15.06%	18.12%	21.04%
Net Profit	3,00,297	4,60,502	6,76,070	9,28,274	12,20,849
Net Profit Margin %	6.18%	8.44%	11.03%	13.48%	15.78%

CASH FLOW SUMMARY

Metric	FY25	FY26	FY27	FY28	FY29
Operating Cash Flow	4,01,393	5,16,405	7,35,484	9,92,015	12,88,487
Investing Cash Flow	-1,00,000	-1,00,000	-1,00,000	-1,00,000	-1,00,000
Financing Cash Flow	3,19,941	-2,12,100	-2,55,214	-3,05,655	-3,44,170
Free Cash Flow to Firm (FCFF)	4,05,893	5,26,905	7,31,984	9,84,515	12,68,487
Closing Cash	7,91,334	9,95,639	13,75,908	19,62,269	28,06,586

BALANCE SHEET SUMMARY

Metric	FY25	FY26	FY27	FY28	FY29
Cash	7,91,334	9,95,639	13,75,908	19,62,269	28,06,586

Accounts Receivable	40,500	45,490	51,094	57,389	64,459
Inventory	66,096	74,239	81,782	90,091	99,244
Net PPE	4,27,500	4,74,750	5,17,275	5,55,548	5,89,993
Total Assets	13,25,430	15,90,117	20,26,059	26,65,296	35,60,281
Debt	4,60,000	3,40,000	2,20,000	1,00,000	-
Equity	7,33,238	11,01,639	16,42,495	23,85,114	33,61,794
Accounts Payable	1,32,192	1,48,478	1,63,563	1,80,181	1,98,488
Total Liabilities & Equity	13,25,430	15,90,117	20,26,059	26,65,296	35,60,281

WORKING CAPITAL

Metric	FY25	FY26	FY27	FY28	FY29
Accounts Receivable	40,500	45,490	51,094	57,389	64,459
Inventory	66,096	74,239	81,782	90,091	99,244
Accounts Payable	1,32,192	1,48,478	1,63,563	1,80,181	1,98,488
Net Working Capital	-25,596	-28,749	-30,688	-32,702	-34,785
Change in Working Capital	-53,596	-3,153	-1,938	-2,014	-2,083

CAPITAL EXPENDITURE

Metric	FY25	FY26	FY27	FY28	FY29
Capital Expenditure	1,00,000	1,00,000	1,00,000	1,00,000	1,00,000
Depreciation	47,500	52,750	57,475	61,728	65,555
Net PPE	4,27,500	4,74,750	5,17,275	5,55,548	5,89,993

DEBT SUMMARY

Metric	FY25	FY26	FY27	FY28	FY29
Opening Debt	80,000	4,60,000	3,40,000	2,20,000	1,00,000
New Borrowings	5,00,000				
Principal Repayment	1,20,000	1,20,000	1,20,000	1,20,000	1,00,000
Closing Debt	4,60,000	3,40,000	2,20,000	1,00,000	-
Interest Expense	46,000	34,000	22,000	10,000	-

VALUATION SUMMARY

Metric	Value
Present Value of FCF	26,48,913
Present Value of Terminal Value	83,54,513
Enterprise Value	1,10,03,425
Less: Debt	80,000
Add: Cash	1,70,000
Equity Value	1,10,93,425

KEY RATIOS

Ratio	FY25	FY26	FY27	FY28	FY29
Current Ratio	6.79	7.51	9.22	11.71	14.96
Debt / Equity	0.63	0.31	0.13	0.04	-
Debt / EBITDA	0.93	0.49	0.22	0.08	-
ROA	22.66%	28.96%	33.37%	34.83%	34.29%
ROE	40.95%	41.80%	41.16%	38.92%	36.32%
Asset Turnover	3.67	3.43	3.03	2.58	2.17
Interest Coverage	9.70	19.06	41.97	124.77	-

Inventory Turnover	24	24	24	24	24
Receivable Days	3	3	3	3	3
Payable Days	30	30	30	30	30

KEY ASSUMPTIONS

Assumption	Value
Revenue Growth	12%
COGS Inflation	4%
Salary Growth	8%
Opex inflation	5%
Tax Rate	25%
Interest Rate	10%
WACC	12%
Terminal Growth Rate	4%

SENSITIVITY ANALYSIS

		Terminal Growth Rate				
		2%	3%	4%	5%	6%
WACC	8%	1,66,74,744	1,95,52,447	2,38,69,000	3,10,63,256	4,54,51,768
	10%	1,20,33,823	1,34,40,306	1,53,15,616	1,79,41,051	2,18,79,203
	12%	92,93,992	1,00,93,740	1,10,93,425	1,23,78,735	1,40,92,481
	14%	74,99,472	79,98,572	85,97,492	93,29,506	1,02,44,523
	16%	62,41,355	65,73,192	69,60,335	74,17,868	79,66,907

INVESTMENT CONCLUSION

Item	Remarks
Revenue Trend	Stable Growth
Profitability	Healthy
Liquidity	Healthy
Leverage	Healthy
Cash Generation	Positive
Valuation (₹)	1,10,00,000
Investment View	Invest